

# THE WALL STREET JOURNAL.

DOW JONES | News Corp \*\*\*\*\*

FRIDAY, AUGUST 22, 2025 ~ VOL. CCLXXXVI NO. 45

WSJ.com

★★★★ \$5.00

DJIA 44785.50 ▼ 152.81 0.34% NASDAQ 21100.31 ▼ 0.34% STOXX 600 559.07 ▼ 0.004% 10-YR. TREAS. ▼ 9/32, yield 4.329% OIL \$63.52 ▲ \$0.81 GOLD \$3,336.90 ▼ \$6.50 EURO \$1.1608 YEN 148.37

## What's News

### Business & Finance

- ◆ **The Fed is preparing** to revamp its approach to setting interest rates, scrapping a framework that isn't considered relevant for the contemporary economy. **A8**
- ◆ **Walmart missed its earnings** target for the latest quarter, reporting increased costs, including job cuts and charges related to worker and shopper injury claims. **B1**
- ◆ **Beijing and Washington** are discussing a trade deal that could include fresh orders totaling hundreds of Boeing aircraft. **B1**
- ◆ **Disney's ESPN and Fox Corp.** launched new streaming services, making their cable networks' offerings available for a monthly subscription for the first time. **B1**
- ◆ **Comcast's NBCUniversal** is in advanced talks with Major League Baseball to carry games on NBC and the Peacock streaming service in a three-year pact approaching \$200 million. **B4**
- ◆ **Major U.S. stock indexes** drifted lower, with the S&P 500 falling 0.4% and the Dow industrials and Nasdaq both shedding 0.3%. **B9**
- ◆ **Novo Nordisk froze** hiring in noncritical business areas, as the Danish drugmaker seeks to tighten cost controls in a challenging obesity-drug market. **B1, B2**
- ◆ **Exports of Swiss watches** edged up in July as brands hustled to ship their timepieces ahead of the imposition of Trump's tariffs. **B3**
- ◆ **The top U.S. auto-safety** regulator is investigating multiple delays by Tesla in submitting crash reports that involve automated-driving systems. **B3**

### World-Wide

- ◆ **A New York appeals court** threw out a more than \$500 million penalty against Trump and his business empire in a splintered ruling that paves the way for further proceedings before the state's highest court. **A1**
- ◆ **Israeli Prime Minister Benjamin Netanyahu** said he approved plans that would expand the war in Gaza as he also assented to negotiations to free the remaining hostages and end the war. **A7**
- ◆ **A federal judge ordered** that the government dismantle much of "Alligator Alcatraz," one of the flagship immigrant detention facilities in Trump's enforcement effort. **A4**
- ◆ **The Trump administration** is considering taking equity stakes in companies receiving funds from the 2022 Chips Act but won't seek shares in bigger chip companies that are increasing their U.S. investments. **A2**
- ◆ **The Supreme Court** allowed the administration for now to withhold hundreds of millions of dollars in health-research grants on topics the White House finds objectionable. **A5**
- ◆ **A judge said the Trump** administration's appointment of New Jersey's top federal prosecutor, Alina Habba, wasn't lawful. **A3**
- ◆ **Erik Menendez**, who has served 35 years in prison following the gruesome murders of his parents in 1989, was denied parole. **A3**
- ◆ **A drone operated** by a drug-trafficking gang downed a Colombian police helicopter, killing 12 in the latest strike against security forces. **A16**
- ◆ **Died: James Dobson**, 89, Christian ministry founder. **A5**

| CONTENTS                |                            |
|-------------------------|----------------------------|
| Mansion.....            | M1-14                      |
| Arts in Review A10-11   | Markets..... B9            |
| Business & Finance B2-3 | Media & Technology B4      |
| Capital Account.....    | A5 Opinion..... A13-15     |
| Crossword.....          | A11 Sports..... A12        |
| From Page One.....      | A8 U.S. News..... A2-5     |
| Heard on Street.....    | B10 World News..... A6-716 |



© 2025 Dow Jones & Company, Inc. All Rights Reserved

# Court Voids \$500 Million Trump Fine

Ruling in fraud case tosses large penalty, but other parts of the judgment stay intact

By CORINNE RAMEY

A New York appeals court threw out a more than \$500 million penalty against President Trump and his business empire, in a sharply splintered ruling that paves the way for

a further appeal before the state's highest court.

The decision from a panel of five justices at the New York Appellate Division's First Department is a significant legal boost for Trump, freeing him, for now, from a massive penalty that caused him financial headaches last year. While the appeals court upheld the trial court's finding that Trump was liable for fraud, its profound legal disagreement underscores the controversial

nature of the case from New York Attorney General Letitia James, a Democrat and frequent antagonist of the Republican president.

"While harm certainly occurred, it was not the cataclysmic harm that can justify a nearly half billion-dollar award to the State," Justice Peter Moulton wrote in one of three opinions, totaling 323 pages, none of which commanded a majority.

While much of Thursday's

outcome was beneficial for Trump, parts of the judgment against him remain intact for now. It leaves in place restrictions on the ability of Trump and his company to do business, including a bar on two of his sons from serving as an officer of a New York company for two years.

Four of the justices agreed that James acted within her authority in bringing the case under a broad state civil fraud statute. Because members of

the appeals panel struggled to reach a consensus on many other issues in the case, they acknowledged that Thursday's decision all but ensures New York's top court will have to get involved. The justices said Trump could seek to continue a pause on the business restrictions while the appeal proceeds.

Trump hailed the decision in a Truth Social post. "It was a Political Witch Hunt, in a business sense, the likes of

Please turn to page A5

## President Visits Officers Amid D.C. Crackdown



REVIEW: President Trump visited a U.S. Park Police facility in Washington on Thursday and said his takeover of law enforcement in the capital has made the city safe. The most visible efforts of the clampdown have been on immigration enforcement. **A4**

## Powell, Under Pressure, Tries to Keep Cool

Trump unleashes caustic campaign to push Fed chief to cut interest rates

By NICK TIMIRAOS

Minutes before his congressional testimony this summer, Jerome Powell sat alone, staring straight ahead in the wood-paneled chamber, appearing deep in thought.

The Federal Reserve chair later told an associate he felt locked in, prepared for questions about the central bank's chief roles—keeping inflation low and Americans employed. Powell looked steeled for criticism, and he didn't have to wait long.

A Republican ally of President Trump, Ohio Sen. Bernie Moreno, launched into a theatrical beatdown an hour into the hearing. He accused Powell of partisanship for comments linking Trump's tariffs with the potential for higher prices and a slowing economy.

"I don't comment on tariffs at all, actually," Powell said. "I comment only on inflation."

Ignoring him, Moreno said inflation was going down, echoing a Trump talking point. The president has demanded an

immediate rate cut and disparaged Powell's integrity and intelligence for failing to comply, calling him a knucklehead and a moron. Trump himself nominated Powell for the job in 2017.

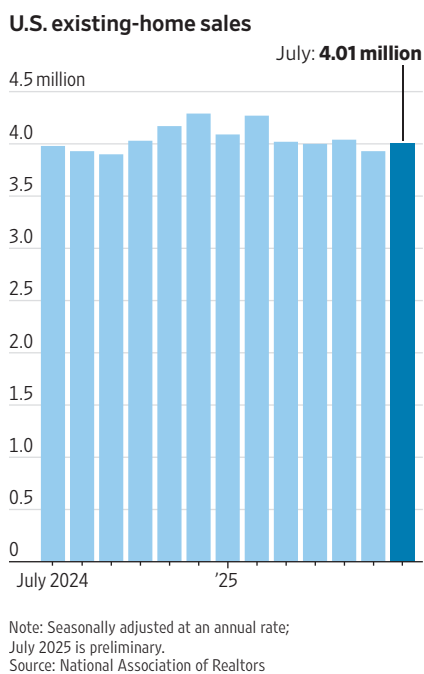
"We got elected by millions of voters," Moreno said as his time expired. "You got elected by one person, and he doesn't want you to be in that job." Powell raised an eyebrow, clicked off his microphone

Please turn to page A8

◆ Fed to revamp approach on rates.. **A8**

## Home Sales Edge Up

Sales of existing homes rose unexpectedly in July, boosting hopes that the long-stalled housing market may be improving. While the gain was slight, the pickup last month reflects that the pace of home-price growth has been slowing. Prices are falling in much of the country, and mortgage rates are easing. **A3**



## Ukraine Deal Is No Closer Despite President's Big Push

By ALEXANDER WARD AND MICHAEL R. GORDON

WASHINGTON—On Monday, President Trump boasted about quickly brokering peace to end the bloody Ukraine conflict. By Thursday, he was saying Kyiv had no chance of winning the war without new attacks on Russia.

"It's like a great team in sports that has a fantastic defense, but is not allowed to play offense," Trump posted on social media. "Interesting times ahead!!!"

His turnaround underscored the fading optimism

about Trump's latest push to end the war.

His hopes for a summit with President Vladimir Putin of Russia and President Volodymyr Zelensky of Ukraine to hammer out a peace deal haven't materialized. Nor has his backup plan for Putin and Zelensky to meet by themselves to discuss ending the 3½-year-long war.

U.S. and European officials are still negotiating the makeup of a peacekeeping force that would aim to deter future Russian attacks against Ukraine if a peace deal is reached. But even that idea was quickly rebuffed by the Kremlin and faced ques-

tions about Trump's willingness to commit to a major role for the U.S. military.

With much of his plans still unrealized, Trump is confronted with the questions that have dogged him for the past six months: How willing is he to pressure Putin and how far is he willing to go in backing Zelensky?

"On the positive side, people are talking about real things now that they weren't several months ago. We're

Please turn to page A6

◆ Land-transfer proposal rocks eastern Ukraine.... **A6**

## The Spooky Sight Giving Gardeners a Fright

Parasitic fungus litters sheds, basements with crusty spider corpses

By NATASHA DANGOOR

An old storm drain in Minneapolis. A damp cottage in Ontario. Underneath a house in New Zealand. In everyday encounters around the globe, people are getting a fright by a Halloween-worthy sight: the eight-legged undead.

A parasitic fungus is creating zombie spiders. It slowly

consumes the arachnids, eventually leaving only their crusty white corpses, ready for discovery.

"I'm not scared of any spiders," said Anna Baddams, who collected black widows with her friends when she was young. "But these ones freaked



Living dead

were almost see-through. Their legs had bobbles on them.

Please turn to page A2

## INSIDE



### SPORTS

Golf's Scottie Scheffler has a lot of wins. But his talent really shows when he loses. **A12**



### MANSION

Take a look inside the Aspen estate that is America's most expensive home. **M1**